THE
ANNOUNCEMENT ROOM
ASX explained clearly

ASX: CIA | CHAMPION IRON LIMITED | 29 OCTOBER 2026 SEPTEMBER QUARTER AND HALF-YEAR RESULTS

Record sales for Champion Iron, but each tonne earned less than it cost

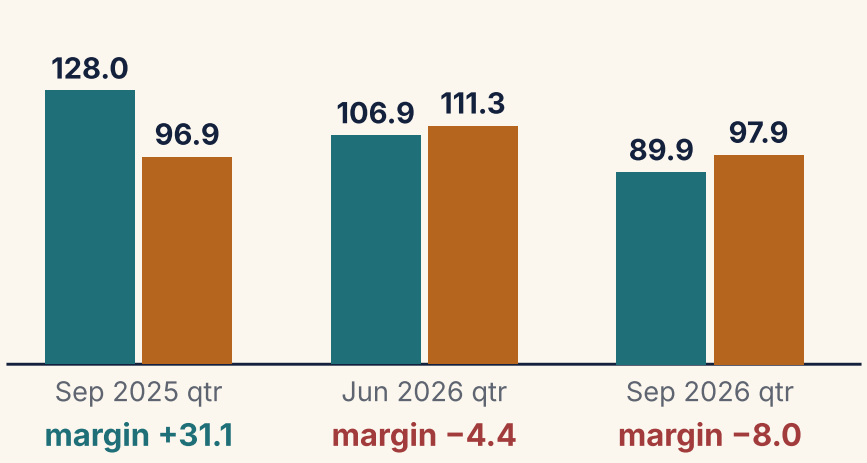
Champion sold a record 4.5 million tonnes in the September 2026 quarter, but the price it received fell 30% in a year. Its cash operating margin was −C$8.0 a tonne. The half-year ended with a C$89.9 million net loss and no interim dividend.

C$403.9m
Quarterly revenue
Down 18% on a year ago

−C$8.0
Cash operating margin per tonne
C$31.1 a year ago, −C$4.4 last quarter

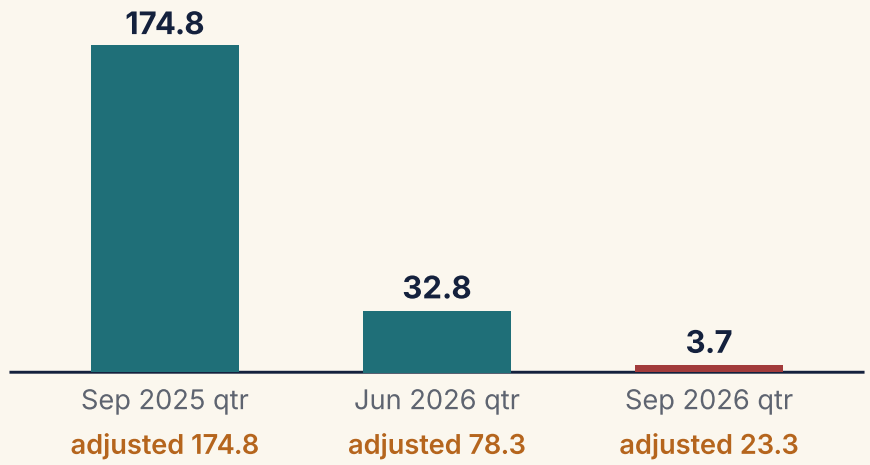
C$3.7m
EBITDA
Earnings before interest, tax and depreciation. C$174.8m a year ago

PRICE RECEIVED VS ALL-IN COST
(C$ PER TONNE SOLD)



Teal: net realised price. **Copper**: all-in sustaining cost (AISC). Margin = price minus AISC.

EBITDA BY QUARTER
(C$ MILLION, AS REPORTED)



Copper: adjusted EBITDA, which removes items such as start-up costs of DRPF, Champion's new higher-purity ore plant.

What the company reported

- Sales rose 17% to 4.5 million dry tonnes. Production rose 9% to 3.9 million wet tonnes.
- Net realised price fell 30% to C$89.9 a tonne on lower prices and higher freight.
- Quarter net loss C$48.4m, against a C$56.8m profit a year ago.
- Six months: revenue C$760.8m (down 14%), net loss C$89.9m.

Easy to miss

- The margin was already −C$4.4 last quarter. It got wider, not newly negative.
- Rana Gruber (Norway) joined in April 2026, so comparisons with past periods are not like for like.
- Part of the sales came from stored ore. Bloom Lake stock fell from 1.7m to 1.0m wet tonnes.

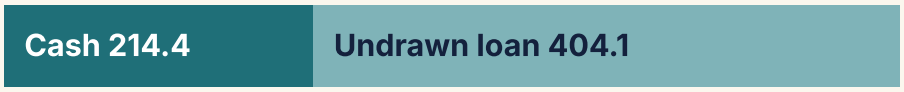
WHAT CHAMPION IRON DOES
Champion mines and sells high-purity iron ore for steelmaking, from Bloom Lake (Quebec, Canada) and Rana Gruber (Norway). All figures are Canadian dollars (C$).

Sources: Quarterly Activities Report Q2 FY27 · Appendix 4D · Investor Presentation Q2 FY27 · Management's Discussion and Analysis (28 Oct 2026, Montreal). Quarter ended 30 Sep 2026; unaudited. EBITDA, AISC, cash operating margin and net realised price are company-defined non-IFRS measures. Margin = price minus AISC.

CHAMPION IRON (ASX: CIA) | 29 OCTOBER 2026 LIQUIDITY, COVENANTS AND DRPF

Cash and credit give room, but lenders are part of the story

LIQUIDITY, 30 SEP 2026 REPORTED



Available liquidity C$618.4m

It was C$653.1m at 30 June. The undrawn part is a bank facility that must be drawn to be used.

OPERATING CASH FLOW REPORTED



Total C$82.4m (C$121.0m a year ago)

Core means before working capital changes. **TAR view:** two thirds came from collecting bills and selling stored ore, which may not repeat.

COVENANTS AND CREDIT TIMELINE REPORTED



Covenants are the conditions lenders set on a loan. Champion says it would not have met certain covenants under some other credit facilities for the quarter, mainly because of how debt is counted and because Rana Gruber is now included. It obtained amendments and waivers before quarter-end that it can use if needed, and is talking to lenders about changing or refinancing some facilities.

DRPF: first commercial shipment

DRPF is the new plant that upgrades ore to direct reduction quality. **Reported:** C$497.0m spent against a budget of about C$500m, and the first sale of direct reduction quality ore is done. More cargoes are booked for the December 2026 quarter. **Expected:** commercial production toward the end of FY27, without the full price premium during ramp-up.

What management expects

Cost cuts and DRPF should help prices and margins in the near term. Higher freight rates should keep cutting net revenue for months. Champion may need to cut spending or raise funding. No profit or margin forecast was given.

Not disclosed

The debt amount covered by waivers, any refinancing terms or deadline, a cash flow forecast and the size of the DRPF price premium.

Lender talks

Is a deal reached before FTQ loan relief ends on 31 December 2026?

Price vs cost

Does the margin improve as DRPF sales grow, or do freight and fuel keep it negative?

Cash quality

Does operating cash flow hold up once stock and bills owed stop falling?

TAR TAKE

Champion sold record volumes, but lower prices and higher costs pushed its cash operating margin to −C$8.0 a tonne, worse than −C$4.4 last quarter. Cash and unused credit of C$618.4m give it room, and the senior facility covenants were met. But it says it would not have met covenants on some other facilities, and lender talks are ongoing. DRPF shipments, freight costs and the 31 December relief date are the next tests.

Sources: Quarterly Activities Report Q2 FY27 · Management's Discussion and Analysis (Liquidity, Cash Flows, DRPF sections) · Appendix 4D. All amounts C$ million unless stated; unaudited. Two-thirds share of operating cash flow is calculated from reported figures. Expectations are not guarantees.